

NEW POSITIONING

1 **Glenmark's focus on creating a global presence in the respiratory segment suggests a strategic shift towards specialised therapeutic areas**

2 **Its renewed focus on complex generics and speciality products aligns with industry trends towards higher-margin products**

3 **Gaining market share in India and expanding into Europe and RoW markets indicates a focus on geographic diversification and growth opportunities**

4 **Monetising the innovation portfolio through licensing deals reflects a strategy to leverage intellectual property for additional revenue streams**

5 **Sharper focus on free cash generation underscores financial discipline and liquidity management priorities**



the congestion of ideas. Glenmark expects Ryaltris to fetch sales of \$80 million in 2025—and it has not even entered major markets such as China and Brazil. (Ryaltris has been commercialised in 31 geographies.) The US Food & Drug Administration (FDA) cleared Ryaltris in January 2022.

Glenmark's journey has not been smooth. The company has grappled with manufacturing issues, which led to warnings from the FDA. The debt burden has impacted its ability to invest freely.

Complex generics and speciality drugs will spur profits, reduce its dependence on debt for working capital, and help it capture more international markets.

WITH DEBT DO WE PART

Working capital needs and the depreciation of the Indian rupee versus the US dollar drove the increase in debt. As of December 31, 2023, Glenmark had a debt of around ₹3,523 crore. The Nirma deal, the company said, is expected to extinguish its total debt and turn it net cash positive. Glenmark Life Sciences will operate independently and focus on meeting dynamic market demands.

Glenmark's revenue (consolidated) increased marginally 2.9% year-on-year (YoY) for the nine-month period ended December 31, 2023 (9MFY24), while its operating profit (consolidated) declined nearly 45% YoY to ₹952.83 crore. However, the company witnessed a loss (consolidated) of ₹219.2 crore compared to a profit of ₹780.5 crore during the year-ago period, due to exceptional items (loss) of ₹454.17 crore during this period, related to litigation in the US.

For the quarter ended December 2024 (Q3FY24), its top line (consolidated) declined 16% YoY, primarily due to a temporary dip in sales following changes in its distribution model in India. These changes will also allow Glenmark to expedite the nationwide roll-out of its anti-counterfeit packaging. Adjusted to exclude the one-time impact, the consolidated revenue would have seen an approximate growth of 9% over the previous year.

In FY23, Glenmark's gross sales (consolidated) increased by 5.6% over the previous year. The Ebitda for the period was ₹2,278.4 crore, with an Ebitda margin of around 17.5%. However, due to the exceptional loss related to the litigation, the profit after tax was significantly reduced to ₹377 crore, down 62% YoY.

Glenmark, currently in a transitional phase, is optimistic despite the identified challenges. "We continue to outperform in our key therapy areas and look forward to a resurgence of our US business... driven by new product launches," says Saldanha.

Brokerage ICICI Securities expects a 90% upside in profit after tax on Glenmark Pharma and a 5.5% YoY drop in revenues in the January-March quarter of FY24.

FOCUS ON KEY THERAPIES

Glenmark is focussing on dermatology, respiratory, and oncology. It has filed two ANDAs (abbreviated new drug applications) with the FDA for generic nasal sprays and completed trials for a generic